

Introduction to Management

Management

Definitions of Management

- “Management is an art of getting things done through people”. - Mary Parker Fallett
- “Management is a process of planning, organizing, staffing, directing and controlling to accomplish organizational objectives through the coordinated use of human and material skills”. – Prof. Moore
- “Management is the process of designing and maintaining an environment in which individuals working together in groups, accomplish their aims efficiently and effectively”. - Koontz

Organization Management

- Organization Management is an art of knowing what to do, when to do and see that it is done in the best and cheapest way.
- It refers to the art of getting people together on a common platform to make them work towards a common predefined goal.
- It enables the optimum use of resources through meticulous planning and control at the workplace.

Need for Organizations Management

- Organization Management gives a sense of direction to the employees so that, they are well aware of their roles and responsibilities and know what they are supposed to do in the organization.
- It also gives a sense of security and oneness to the employees.
- An effective management is required for better coordination among various departments.
- Employees accomplish tasks within the stipulated time frame as a result of effective organization management, stay loyal towards their job and do not treat work as a burden.

Management as a Speciality in Time

- Management is an attempt to create a desirable future, keeping the past and the present in mind.
- It is practiced in and is a reflection of a particular historical era.
- It is a practice that produces consequences and effects that emerge over time.

Management as a Speciality in Human Relationships

- Managers act in relationships that two way streets; each party is influenced by the other.
- They also act in relationships that have spill over effects for other people, for better and for worse.
- Managers juggle multiple simultaneous relationships.

Some Key Concepts

- Managerial performance is the measure of how efficient and effective a manager is; i.e., how well he or she determines and achieves appropriate objectives.
- Organizational performance is the measure of how efficient and effective an organization is; i.e., how well it achieves appropriate objectives.
- Efficiency (resource usages) is the ability to minimize the use of resources in achieving organizational objectives - “doing the things right”.
- Effectiveness (goal attainment) is the ability to determine appropriate objectives - “doing the right thing”.

The Management Process

It is a dynamic process by which management creates, operates and directs purposive organization through systematic, coordinated and co-operated human efforts.

As a process, management consists of three aspects:

- Management is a social process – Human factor & Relationships
- Management is an integrating process – Human, Physical & Financial
- Management is a continuous process – Problem solving

Basic Steps in Management

- Vision
- Mission
- Objectives/Goals
- Strategy
- Policies
- Procedures/Rules
- Action Plan
- Budget

Activities / Functions of Management

- Planning
- Organizing & Staffing
- Motivating & Leading
- Controlling

Planning

- Planning is the basic function of management. It deals with chalking out a future course of action and deciding in advance the most appropriate course of actions for the achievement of pre-determined goals.
- According to Koontz, “Planning is deciding in advance - what to do, when to do & how to do. It bridges the gap from where we are & where we want to be”.
- It is all pervasive, an intellectual activity and also helps in avoiding confusion, uncertainties, and risks.
- Thus, planning is a systematic thinking about ways & means for accomplishment of pre-determined goals.

Organizing

- Organizing is the process of bringing together physical, financial & human resources and developing productive relationship amongst them for achievement of organizational goals.
- According to Henry Fayol, “To organize a business is to provide it with everything useful for its functioning i.e. raw materials, tools, capital and personnel”.

Organizing as a process involves:

- Identification of activities
- Classification of grouping of activities
- Assignment of duties
- Delegation of authority and creation of responsibility
- Coordinating authority and responsibility relationships

Staffing

- The main purpose of staffing is to put the right man on to the right job.
- According to Koontz & O'Donnell, “Managerial function of staffing involves manning the organization structure through proper and effective selection; appraisal & development of personnel to fill the roles designed in the structure”.

Staffing involves:

- Manpower planning
- Recruitment, selection & placement
- Training & development
- Remuneration
- Performance appraisal
- Promotions & transfer

Leading

- Leading is that part of managerial function which actuates the organizational methods to work efficiently for achievement of organizational purposes.
- It is an inter-personnel aspect of management which deals directly with influencing, guiding, supervising, motivating sub-ordinates for the achievement of organizational goals.

Leading has following elements:

- Supervision
- Motivation
- Leadership
- Communication

Controlling

- The purpose of controlling is to ensure that everything occurs in conformities with the standards.
- According to Koontz & O'Donnell, "Controlling is the measurement & correction of performance activities of subordinates in order to make sure that the enterprise objectives and plans desired to obtain, are as being accomplished".

Controlling has following steps:

- Establishment of standard performance
- Measurement of actual performance
- Comparison of actual performance with the standards and finding out deviation if any
- Corrective action

Management as an Activity

Managerial Roles

- **Informational Activities:** In the functioning of business enterprise, the manager constantly has to receive and give information orally or in written. A communication link has to be maintained with subordinates as well as superiors for effective functioning of an enterprise.
- **Decisional Activities:** Practically all types of managerial activities are based on one or the other types of decisions. Therefore, managers are continuously involved in decisions of different kinds since the decision made by one manager becomes the basis of action to be taken by other managers.
- **Inter-personal Activities:** Management involves achieving goals through people. Therefore, managers have to interact with superiors as well as the sub-ordinates. They must maintain good relations with them.

Types of Managers / Management Level

First-line Managers

- First-Line/Lower level Management is also known as supervisory/operative level of management.
- It consists of supervisors, foreman, section officers, superintendent etc.
- Supervisory management refers to those executives whose work has to be largely with personal oversight and direction & controlling of operative employees.

Their activities include:

- Assigning of jobs and tasks to various workers.
- They guide and instruct workers for day to day activities.
- They are responsible for the quality as well as quantity of production.
- They communicate workers problems, suggestions & recommendatory appeals etc. to the higher level, and higher level goals and objectives to the workers.

Types of Managers / Management Level

Middle Managers

- The branch managers and departmental managers constitute middle level.
- They are responsible to the top management for the functioning of their department.
- They devote more time to organizational and directional functions.
- They execute the plans of the organization in accordance with the policies and directives of the top management.
- They participate in employment & training of lower level management.
- They are responsible for coordinating the activities within the division or department.
- They are also responsible for inspiring lower level managers towards better performance.

Types of Managers / Management Level

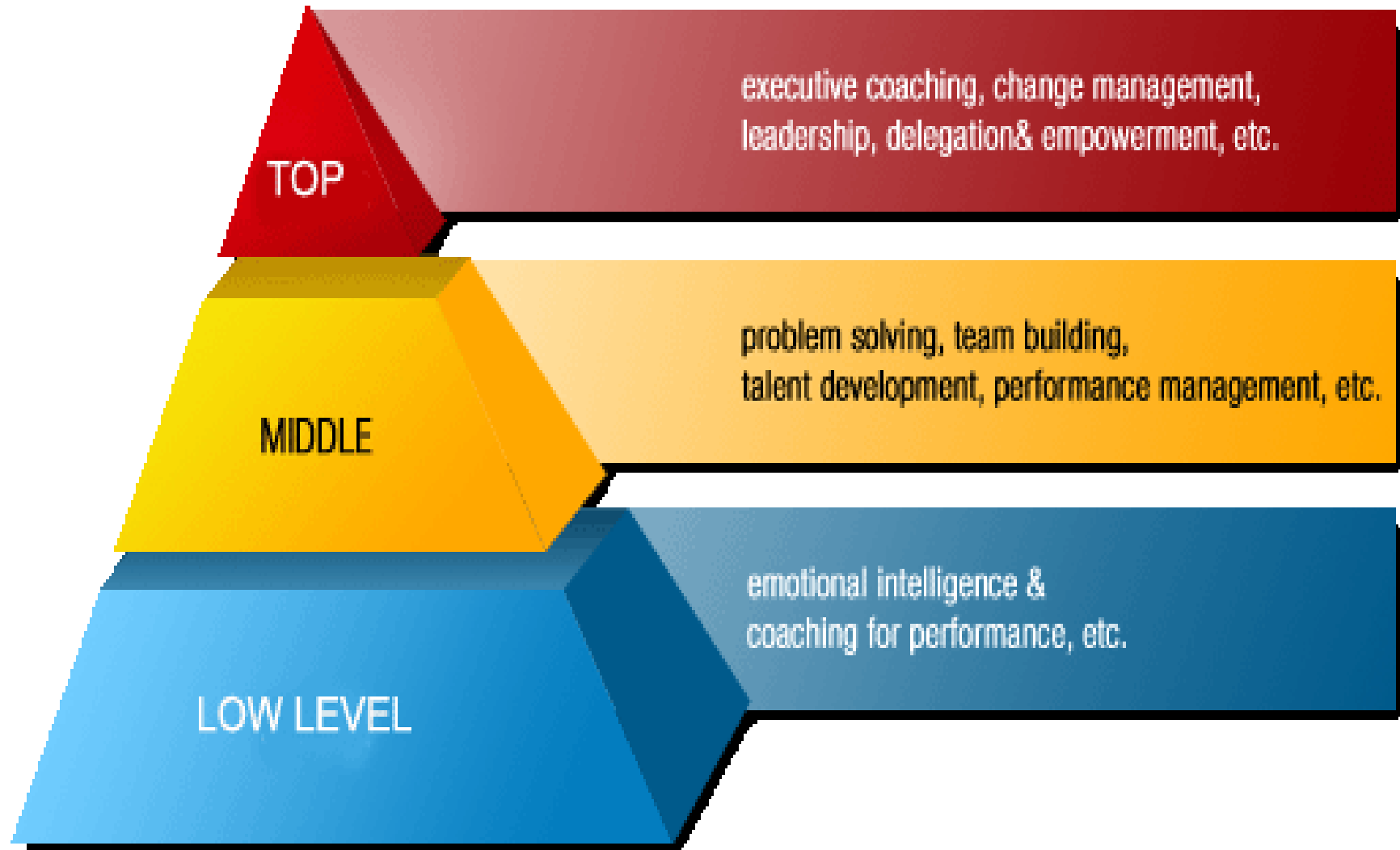
Top Managers

- It consists of board of directors, chief executive or managing director.
- The top management is the ultimate source of authority and it manages goals and policies for an enterprise.
- It devotes more time on planning and coordinating functions.

The role of the top management can be summarized as follows:

- Top management lays down the objectives, strategic plans and broad policies of the enterprise.
- It issues necessary instructions for preparation of department budgets, procedures, schedules etc.
- It controls & coordinates the activities of all the departments.
- The top management is also responsible towards the shareholders for the performance of the enterprise.

Types of Managers / Management Level



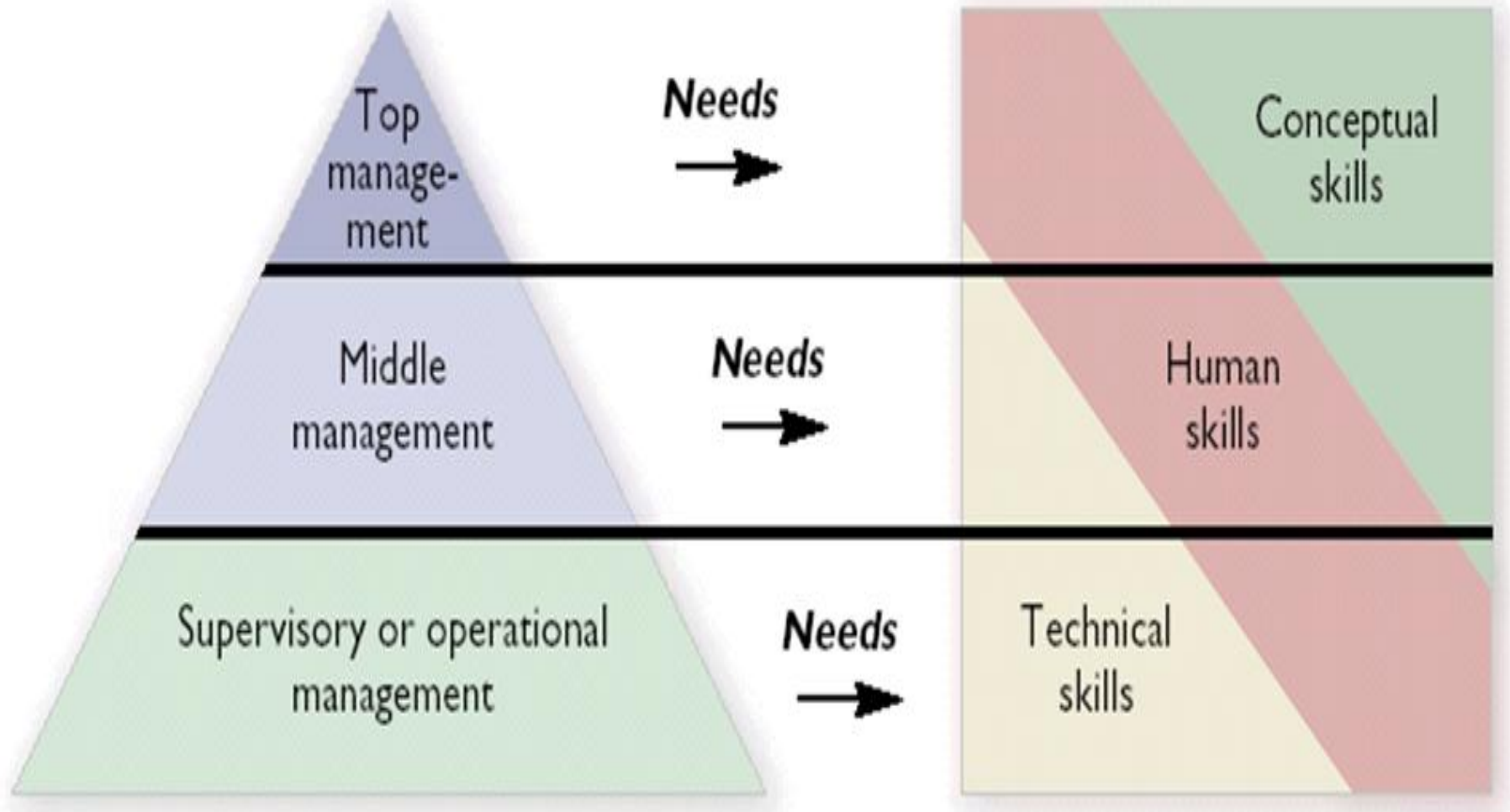
Management Skills

- **Technical skill** is the ability to use the procedures, techniques and knowledge of a specialized field. Surgeons, engineers, musicians and accountants all have technical skills in their respective field.
- **Human skill** is the ability to work with, understand and motivate other people as individuals or in groups.
- **Conceptual skill** is the ability to coordinate and integrate all of an organization's interests and activities. It involves seeing the organization as a whole, understanding how its parts depend on one another, and anticipating how a change in any of its parts will affect the whole.

Management Skills

MANAGEMENT LEVELS

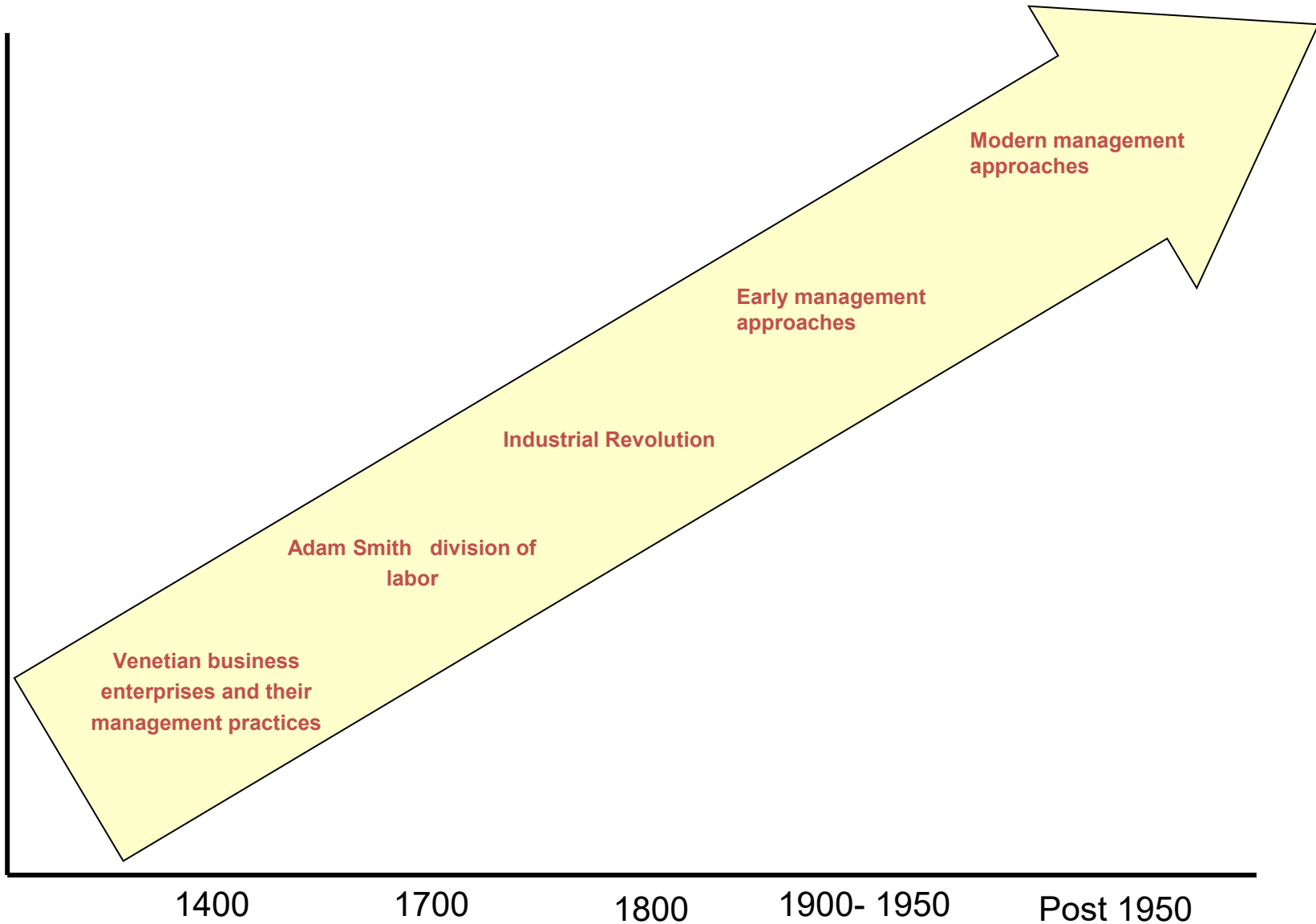
SKILLS NEEDED



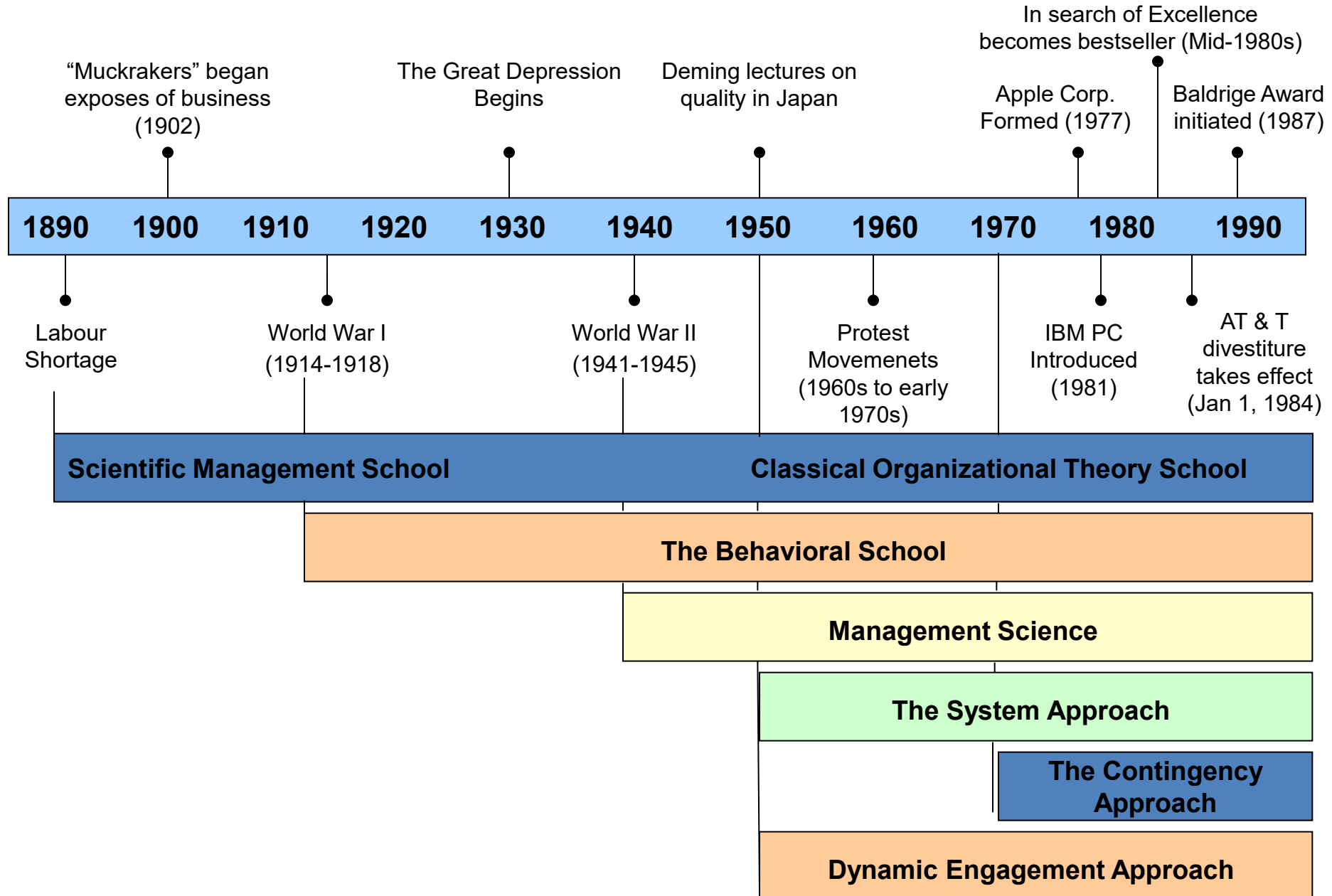
The Challenges of Management

- The need for vision
- The need for ethics
- The need for responsiveness to cultural diversity

The Evolution of Management Theory



Key Management Theories – An Overview



The Scientific Management School

- Scientific Management theory arose in part from the need to increase productivity.
- The only way to expand productivity was to raise the efficiency of workers.

Frederick W. Taylor (1856-1915) rested his philosophy on four basic principles:

- The development of a true science of management, so that the best method for performing each task could be determined.
- The scientific selection of workers, so that each worker would be given responsibility for the task for which he or she was best suited – Functional foremanship.
- The scientific education and development of the worker.
- Intimate, friendly cooperation between management and labor.

The Scientific Management School

- Taylor based his management system on production-line time studies.
- Using time study as his base, he broke each job down into components and designed the quickest and best methods of performing each component. In this way he established how much workers should be able to do with the equipments and materials at hand.
- He also encouraged employers to pay more productive workers at a higher rate than others using a 'scientifically correct rate' that would benefit both company and worker.
- Thus, workers were urged to surpass their previous performance standards to earn more pay. Taylor called his plan the **differential rate system**.

The Classical Organization Theory School

- Henri Fayol (1841-1925) is generally hailed as the founder of the classical management school.
- Taylor was basically concerned with organizational functions; however, Fayol was interested in the total organization and focused on management which he felt had been the most neglected of business operations.

Fayol listed 14 principles of management most frequently to be applied:

- Division of Labor
- Authority
- Discipline

The Classical Organization Theory School

- Unity of Command
- Unity of Direction
- Subordination of the individual interest to the common good
- Remuneration
- Centralization
- The Hierarchy
- Order
- Equity
- Stability of the Staff
- Initiative
- Esprit de corps

The Behavioral School

- The behavioral school emerged partly because the classical approach did not achieve sufficient production efficiency and workplace harmony.
- To managers' frustration, people did not always follow predicted or expected patterns of behavior.
- Thus there was increased interest in helping managers deal more effectively with the 'people side' of their organizations.

Relations Theory – The Human Relations Movement

- Human relations are frequently used as a general term to describe the ways in which managers interact with their employees.
- When “employee management” stimulates more and better work, the organization has effective human relations; when morale and efficiency deteriorate, its human relations are said to be ineffective.
- The human relations movement arose from early attempts to systematically discover the social and psychological factors that would create effective human relations.

The Hawthorne Experiments

The human relations movement grew out of a famous series of studies conducted at the Western Electric Company from 1924 to 1933. These eventually became known as the “Hawthorne Studies” because many of them were performed at Western Electricity Hawthorne plant by Elton Mayo near Chicago. They were:

- Illumination Experiments
- Relay Assembly Test Room
- Interviewing Program
- Bank Wiring Test Room

The quantitative approach

- At the beginning of World War II, Great Britain desperately needed to solve a number of new, complex problems in warfare. With their survival at stake, the British formed the first operational research (OR) teams.
- By pooling the expertise of mathematicians, physicists, and other scientists in OR teams, the British were able to achieve significant technological and tactical breakthroughs and so as the Americans.
- The teams used early computers to perform the thousands of calculations involved in mathematical modeling.
- When the war was over, the applicability of operations research to problems in industry gradually became apparent. New industrial technologies were being put into use and transportation & communication were becoming more complicated.
- These developments brought with them a host of problems that could not be solved easily by conventional means. Increasingly, OR specialists were called on to help managers come up with answers to these new problems.

The quantitative approach

- Over the years, OR procedures were formalized into what is now more generally called the management science school.
- The management science approach to solving a problem begins when a mixed team of specialists from relevant disciplines is called in to analyze the problem and propose a course of action to management.
- The team constructs a mathematical model that shows, in symbolic terms, all relevant factors bearing on the problem and how they are interrelated.
- By changing the value of the variables in the model (such as increasing the cost of raw materials) and analyzing the different equations of the model with a computer, the team can determine the effects of each change.
- Eventually the management science team presents management with an objective basis for making a decision.

The Systems theory

- The systems approach to management views the organization as a unified, purposeful system composed of interrelated parts.
- This approach gives managers a way of looking at the organization as a whole and as a part of the larger, external environment.
- Systems theory tells us that the activity of any segment of an organization affects, in varying degrees, the activity of every other segment.
- Production managers in a manufacturer's plant, for example prefer long uninterrupted production runs of standardized products in order to maintain maximum efficiency and low costs.
- Marketing managers, on the other hand, who want to offer customers quick delivery of a wide range of products, would like a flexible manufacturing schedule that can fill special orders on short notice.
- Systems oriented production managers make scheduling decisions only after they have identified the impact of these decisions on other departments and on the entire organization.

The Systems theory

- The point of the systems approach is that managers cannot function wholly within the confines of the traditional organization chart. They have to communicate not only with other employees and departments, but frequently with representatives of other organizations as well.

Some Key Concepts

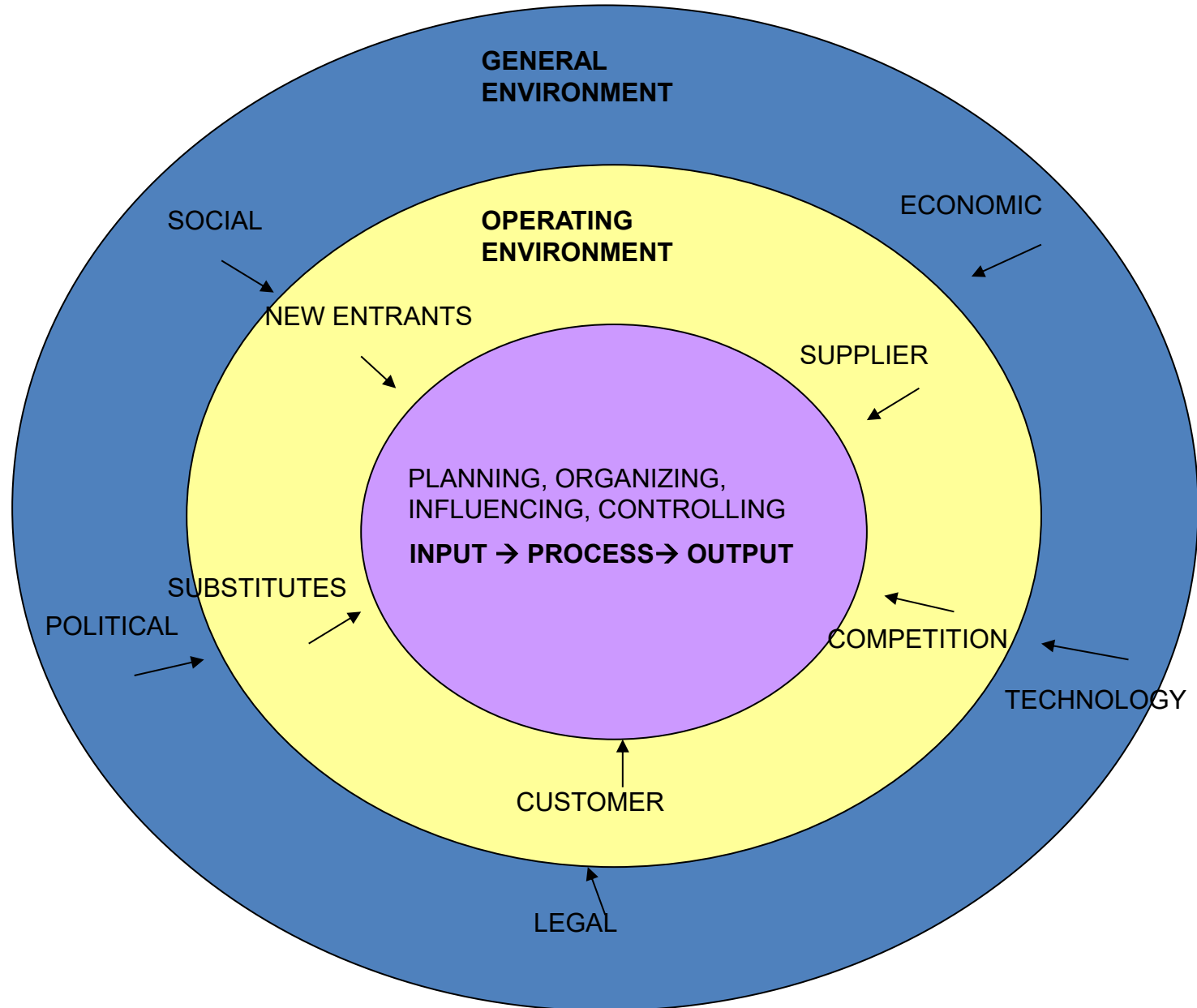
- **Subsystems:** The parts that make up the whole of a system are called subsystems. And each system in turn may be a subsystem of a still larger whole. Thus a department is a subsystem of a plant, which may be a subsystem of a company, which may be a subsystem of an industry.
- **Synergy:** Synergy means that the whole is greater than the sum of its parts. In organizational terms, synergy means that as separate departments within an organization cooperate and interact, they become more productive than if each were to act in isolation. For example, in a small firm, it is more efficient for each department to deal with one Finance department than for each department to have a separate finance department of its own.
- **Open and Closed Systems:** A system is considered an open system if it interacts with its environment; it is considered a closed system if it does not. All organizations interact with their environment, but the extent to which they do so varies. An automobile is a perfect example for an open system.

The Systems Approach

- **System Boundary:** Each system has a boundary that separates it from its environment. In a closed system, the system boundary is rigid; in an open system, the boundary is more flexible. The system boundaries of many organizations have become increasingly flexible in recent years. For example, managers at oil companies wishing to engage in offshore drilling now consider public concern for the environment.
- **Flow:** A system has flows of information, materials and energy (including human energy). These enter the system from the environment as inputs (raw materials for example), undergo transformation processes within the system (operations that alter them) and exit the system as outputs (goods and services).
- **Feedback:** Feedback is the key to system controls. As operations of the system proceed, information is fed back to the appropriate people, and perhaps to a computer, so that the work can be assessed and, if necessary corrected.

Systems theory calls attention to the dynamic and interrelated nature of organizations and the management task. With a systems perspective, general managers can more easily maintain a balance between the needs of the various parts of the enterprises and the needs and goals of the whole firm.

The Systems theory



The Contingency theory

- The contingency approach (sometimes called the situational approach) was developed by managers, consultants, and researchers who tried to apply the concepts of the major schools to real life situations.
- When methods were highly effective in one situation, failed to work in other situations. Results differ because situations differ, a technique that works in one case will not necessarily work in all cases.
- According to the contingency approach, the manager's task is to identify which techniques will, in particular situation, under particular circumstances and at a particular time, best contribute to the attainment of management goals.

The Contingency theory

- Where workers need to be encouraged to increase productivity, for example, the classical theorist may prescribe a new work simplification scheme.
- The behavioral scientist may instead seek to create a psychologically mutating climate and recommend some approach like job enrichment.
- If the workers are unskilled and training opportunities and resources are limited, work simplification would be the best solution. However, with skilled workers driven by pride in their abilities, a job-enrichment program might be more effective.
- The contingency approach represents an important turn in modern management theory, because it portrays each set of organizational relationships in its unique circumstances.

Organizational and Natural Environments

- External groups with particular agendas are often organized and powerful and many organizations depend on them for support.
- Technological, political, economic and social trends can have major effects on whether or not organizations are successful.
- Today's managers must pay attention to the natural environment if we are to preserve the world for future generations.
- It is difficult to separate 'organizational' and 'natural' environments because they are ultimately connected.
- To understand organizational environments we must borrow some concepts from systems theory.
- One of the basic assumptions of systems theory is that organizations are either self sufficient or self contained.

Organizational and Natural Environments

- They exchange resources with and are dependent upon the external environment, defined as all elements outside an organization that are relevant to its operations. (Some of these elements connect the organizations to the physical world).
- Organizations take inputs (raw materials, money, labor and energy) from the external environment, transform them into products or services and then send them back as outputs to the external environment.
- The external environments have both direct action and indirect action elements.
- Direct action elements also called stakeholders include shareholders, unions, suppliers and many others who directly influence an organization.
- Indirect action elements such as the technology, economy, and politics of a society, affect the climate in which an organization operates and have the potential to become direct action elements.

Ethics & Social Responsibility

- Ethics and Social Responsibility are concepts that are fundamentally about the quality of our relationships over time.
- Many organizational decisions involve knotty problems where organizational interests affect the interests of others.
- Companies and managers that ignore moral concerns are saying to those affected, "we don't want to invest in making this relationship better".
- Even tough unethical behavior may sometimes pay today; those who ignore ethical issues are heading for trouble over the long run.
- So companies are using their past experiences and values and the concerns of the present in setting new moral visions for the future.

Ethics & Social Responsibility

Examples

- San Francisco bakery instituted a practice of hiring ex-convicts to fulfill the responsibility of business which has to play a large role in changing our society. Business people especially those in smaller companies know how to get things done.
- In response to the homeless situation, one of Ben & Jerry's answers was to open a store in Harlem and employ homeless people to serve ice cream.
- For every UPC code mailed in by consumers, Scott Paper donates five cents to Ronald McDonald Houses.
- Paul Newman earmarks all of the profits from Newman's Own food products for various charities such as the Hole in the Wall Gang, a camp for children with terminal cancer.
- The Campbell Soup Company has sponsored a long running program; "Labels for Educations", that involves supplying equipment for schools based on the number of Campbell and Swanson labels sent in by consumers during the school year.

Ethics & Social Responsibility

Examples

- Burger King, along with IBM, operates a similar program. Through Burgers and Bytes, computers are donated to schools according to the number of cash register receipts generated. Burger King also operates Burger King Academy to provide education and social services for dropouts and truant.
- Colgate-Palmolive kicked off its Partners in Education program, which doubled as a marketing endeavor and a philanthropic measure. In return for retailers putting up their display, the company gave the retailers Map Playground Kits, which included materials for students to paint their own maps. The stores then dispersed the kits to local grade schools.
- Reebok ended up launching a new product in 1991 – the Black Top line of outdoor basketball shoes. Part of the profits from the shoes are used to renovate basketball courts, such as a court in South Dade County, Florida, devastated by Hurricane Andrew and renovated in 1993.

Some Key Concepts

- **Corporate social responsibility** focuses on what an organization does that affects the society in which it exists.
- **Corporate social responsiveness** is a theory of social responsibility that focuses on how companies respond to issues, rather than trying to determine their ultimate social responsibility.
- **Corporate social performance** is a single theory of corporate social action encompassing social principles, processes and policies.
- **Ethics** is the study of people's rights and duties, the moral rules that people apply in making decisions, and the nature of the relationships among people.

In business, most ethical questions fall into one or more of four categories: societal, stakeholder, internal policy, or personal (the individual).

The Tools of Ethics

- **Values:** Relatively permanent desires that seem to be good in people, like peace or goodwill.
- **Rights:** Claims that entitle a person to take a particular action.
- **Duties:** Obligations to take specific steps or obey the law.
- **Moral Rules:** Rules for behavior that often become internalized as moral values.

Globalization

- Globalization refers to the process of integration across societies and economies.
- The phenomenon encompasses the flow of products, services, labor, finance, information, and ideas moving across national borders.
- The frequency and intensity of the flows relate to the upward or downward direction of globalization as a trend.

Globalization

Rationale

- A primary economic rationale for globalization is reducing barriers to trade for the enrichment of all societies.
- The greater good would be served by leveraging comparative advantages for production and trade that are impeded by regulatory barriers between sovereignty entities.
- This economic rationale for global integration depends on supporting factors to facilitate the process. The factors include advances in transportation, communication, and technology to provide the necessary conduits for global economic integration.
- While these factors are necessary, they are not sufficient. Collaboration with political parties, through international relations, is required to leverage the potential of the supporting factors.

Globalization

Complexities and Controversies

The increase of globalization surfaced many complex and controversial issues as economies and societies became more interdependent with greater frequency of interactions between one another. A number of important trends that make up globalization include:

- location of integration activities
- impact upon poorer societies
- flow of capital
- migration of labor and work
- diffusion of technology
- sustainability of the natural environment
- reconfiguration of cultural dynamics
- development of organizational strategies for global competition